



Jahangirnagar University

An assignment on

Kautilya's Arthashastra

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Who is Kautilya?

The name 'Kautilya' denotes that he is of the 'Kutila' gotra, 'Chanakya' shows him to be the son of Chanaka and 'Vishnugupta' was his personal name. He was born in 375 B.C in Maghada with a full set of teeth. It was said he was fated to be a king, but his family didn't like the idea, so they got rid of all of his teeth. Instead of being the king, he became the kingmaker. He destroyed the Nanda dynasty and installed Chandragupta Maurya on the throne of Magadha. He finished his study from one of the oldest universities of the world, Takshashila University.

He was the Mahaamaty (Prime Minister) of the Mauryan Empire. Furthermore, he possessed rich experience in political administration and defence matters. Eventually, Kautilya became an intelligent scholar, fearless thinker, capable secretary, and astute politician. Later, he retired from active politics and took upon the monumental task of writing the Arthashastra. Being a profound scholar, he studied the literature available to him on subjects like philosophy, religion, politics and diplomacy. However, he came out with an independent account and commentary of his own in the form of Arthashastra. He documented his lifelong work in his book Arthashastra. For ages, rulers across the world have referred to the Arthashastra for advice on building a nation based on sound economics and spiritual values.

An overview of Kautilya's Arthashastra

Kautilya's treatise Arthashastra deals extensively with aspects of political, economic, and social management and is the oldest book on management in the world. It was written by Kautilya around 350 BC. Arthashastra is more of a tome than a book on economics. Kautilya wrote a comprehensive account encompassing political administration and defence matters. In the process, he concluded that economics was the most important aspect of public life as it provided the basis for human existence and survival.

The main activities of the economy during that period were:

1. Agriculture
2. Cattle rearing, and
3. Trade & Commerce.

However, while commenting on other matters of administration, Kautilya made reference to different dimensions that have a strong bearing on economics.

Kautilya provided a detailed analysis of:

1. Public finance
2. taxation
3. public expenditure
4. investments
5. appointment of ministers and other state officials
6. Governance of the state.

Economic thought

Kautilya's major contribution to the economic thought process could be seen in the area of public finance. Kautilya referred to 7 different sources of revenue and 15 heads of expenditures.

The seven sources of revenue are:

1. Income from crown property:

- (i) Revenue from crown Agricultural land (Sita)
- (ii) Revenue from mining and metallurgy
- (iii) Revenue from Irrigation Works
- (iv) Revenue from forests.

2. Income from State Controlled Activities:

- (i) Manufacturing Industries like textile, salt, alcoholic liquor
- (ii) Leisure activity – Courtesans, Prostitutes and Entertainers, Betting and Gambling

3. Taxes in cash and in kind:

- (i) Customs duty (sulka) which consists of: Import duty (pravesya) Export duty (nishkramya) and Octroi and other gate tolls (dwarabahirikdeya)
- (ii) Transaction tax (vyaji) including Manavyaji (transaction tax for Crown goods)
- (iii) Share of production (bhaga) including 1/6th share (shadbhaga)
- (iv) Tax (Kara), in cash
- (v) Taxes in kind (pratikara) including Labour (vishti) Supply of soldiers (ayudhiya)
- (vi) Countervailing duties or taxes (vaidharana)
- (vii) Road cess (vartani)
- (viii) Monopoly tax (parigha)
- (ix) Royalty (prakriya)
- (x) Taxes paid in kind by villages (pindakara)
- (xi) Army maintenance tax (senabhaktham)
- (xii) Surcharges (parsvam)

4. Trade: including state trading, compensation payments, and excess value realization.

5. Fees and services charges: including weights and measures, stamping fee, ferry charges, port dues, land survey charges, coining fee, testing fee, escort charges, fixed charges.

6. Fines: Monetary fines were of three kinds:

- (i) Danda (Fines levied by Heads of Departments)
- (ii) Athyaya (Those levied by Judges and Magistrates)
- (iii) Ayuktadanda (those paid by Govt. servants)

7. Miscellaneous: including lost property, revenue from controller of temples and holy places, recovery from thieves, interest on commodities loaned, received as aids, presents, redemption of prisoners, reversion of property to state, court cases, debts, confiscated property, intestate property, treasure trove, saving from expenditure unforeseen receipt.

Trade and Commerce

Kautilya's Arthashastra also discusses trade and commerce.

1. Trade were heavily controlled by the state during his time.
2. Trading operations were supervised and controlled by the Superintendent of Trade.

3. The prices of traded goods were fixed by the State after undertaking the process of costing, allowing a profit margin of 5% on domestic goods and 10% on foreign goods.
4. Kautilya attached considerable importance to weights and measures used for trade.
5. The medium of exchange was silver and copper coins, barter was practised whenever necessary.
6. Kautilya also made suggestions for the development and maintenance of trade routes.
7. Kautilya made suggestions for renewal and renovation of discarded mines.

Labor policy and HRD Practice

Kautilya devoted a lot of his attention to labour policies and human resource development matters.

1. The State was responsible for the recruitment of ministers, secretaries and other officers.
2. Detailed procedures were indicated for conducting tests, fixing remuneration, for rotation of duties, and promotions.
3. The treatment of the labour force had to be fair, yet strict.
4. Kautilya was propounding 'human resource development' in a detailed manner.
5. Kautilya was also aware of the need for education and training of the different functionaries.

Governance

It is finally necessary to understand the concept of governance, as explained by Kautilya. He wrote about governance in the context of a monarchic State, and the principles enumerated by him were with reference to governance of such a State,

1. The king was the CEO of the state.
2. Kautilya prescribed a comprehensive daily routine for the king, divided into seven phases.
3. The King should possess knowledge of philosophy, old scriptures, political ethics, diplomacy, and the functioning of the economy.
4. The King should administer law and justice.
5. He believed in Dandniti, that penalties must be fair and just, and proportionate to the offence committed.
6. He also described the work and process of recruitment of the administration officials.

Kautilya as an Economist

The economic ideas expressed in the Arthashastra are not new to the modern economist, but what is amazing is that Kautilya had developed these thoughts some 2,400 years ago. Many of the same ideas have been rediscovered and restated since his time.

Perhaps one could call Kautilya the 'Father of Economics in India'! He even wrote about the estimation of demand and control of supply. According to him, a king should not arbitrarily fix the price of a product without regard to its supply and demand. Kautilya advocated the concept of 'just price.' **The 'just price' was designed to maintain the incentive for business people by allowing them five to ten per cent profit in their operations.** As State-owned businesses competed with private businesses, the conflict of interest was clear. Kautilya suggested some parity in price be maintained such that the private sector was not choked off. He indicated that an arbitrary price cannot be dictated from above without regard to the cost of production, the ratio of supply to demand, a reasonable level of profit, etc. When there was a glut of any commodity, the State (designated state official Panyadhyaksa) was expected to intervene and centralize the sale of that commodity so that

the price did not slump. Apparently, the entire supply was purchased and its sale carried out through the agency of the state at a fixed price.

Foreign Trade

he recommended that experts be sent to study foreign markets and determine which commodities could be imported and exported profitably. He encouraged imports but understood that it could not be a one-way trade; hence, for the long term, he suggested a balance between import and export be maintained. He does not display any of the fears of foreign trade that the mercantilists after him had displayed. Likewise, he stated that before a successful trade contract can be established, it must be beneficial to all countries involved. Foreign trade, however, was regulated – not everything could be imported or exported.

Kautilya laid down general and specific policies regarding all aspects of trade, which seem too complex and strangely modern.

Interest and Profit (A Function of Risk, Uncertainty and Productivity)

Kautilya incorporated risk and uncertainty to the levels of profit and interest. He had indicated that the higher level of risk and uncertainty must be rewarded by higher profits and interests. He prescribed the allowable profits on imports to be twice of that on domestic goods. Allowable profits on imports was 10 percent, whereas it was 5 percent on domestic products. The reason behind this was clear. In those days, the importers of foreign goods had to face great danger of being robbed and looted at the time of shipment of the products from other states.

Kautilya favoured charging interests on loans, but the rate of interest was regulated by the state. Kautilya believed that the State should have some watch over commercial activities that affect the general welfare of the State, Kautilya outlined a structure of rates based upon the type of loans, factors affecting interest rate, methods of calculating interest and the circumstances when interest may not be collected by the lenders.

Interest rates in his time varied from 1.25-2% per month, primarily, depending upon two factors – the risk involved and the potential productivity of the money borrowed. The interest rate on secured loan for personal needs such as to meet marriage expense was at the lower end of the spectrum, at 1.25% per month. The rate was higher for trade. In the case of ordinary local trade the rate was five per cent per month, but the rate doubled for those trading in forest products. The traders who travelled to forest areas were subjected to greater risk from animals and robbers; further, the business in forest products was more profitable. The highest rate of 20% per month was charged to those who engaged in overseas trade, considered to be the most risky but also the most profitable of businesses.

Five different kinds of interest were distinguished by Kautilya: compound interest, periodical interest, stipulated interest, daily interest, and the use of a pledged article

Wage

Kautilya used three criteria in prescribing wages for state employees. He indicated that the wage should be high enough to maintain the loyalty of high ranking officials, to evoke the needed efficiency and effort, and to reflect the relative standing of their occupation. He recommended that the aggregate wage bill of the State should not exceed one-fourth of its revenue.

The wage differed between the industries based upon skill and technology required, and within the industry based upon the quality and quantity of work done. Higher wages were paid for overtime work done during holidays. The labour market was quite competitive. Those who could not

compete, joined the ranks of the unemployed and the unskilled labour force with their wages appreciably reduced.

For Kautilya, the State is a party to any labour or wage legislation together with farmers, merchants and industrialists.

The policy suggested in Arthashastra attempts to strike a balance between the delicate interests of the parties involved. Kautilya indicates that although the State holds a privileged position of a monopolist, it should co-operate with the private sector for proper utilization of resources. Further, a strong private sector is a source of strength to the State.

Money And Banking

In Kautilya's economy, there is no restriction on the supply of money. The supply and demand for money seem to take care of themselves without any interference from the State. It seems the restriction on the supply of money comes from the availability of gold and silver – the two important metals used in the manufacture of coins.

Kautilya also envisaged the idea of a rudimentary banking system that kept the wealth of guilds and artisans in safekeeping. He recommends that the banker should have a good understanding of the workings of the artisans, should be reliable, and be a person of good standing.

Tax Structure

He advocated taxing power of the state to be limited and taxes should be equitable and just. According to him, tax should not be heavy and excessive. He suggested tax rates should not exceed 16 percent to 20 percent (1/6th or 1/5th) of the economic activities

He, however, advised tax rate up to 50 percent or more for some goods or services which were harmful for the society in nature.

The existence of income tax was rarely found except for singers, dancers, prostitutes, spies of neighbour states etc. In such cases, taxes were up to 50 percent or more of their income earned. The moderate rate of tax, such as 16 – 20 percent, was a prudent policy to avoid tax evasion and black money (Mehata, 1998).

Free Market Economy

Kautilya's view was not very different from the actual practice in current free market economies, where the State is expected to provide the institutions required for the efficient conduct of economic activities. Kautilya viewed the welfare of the State to be coterminous with the prosperity of its subjects.

He outlined the techniques for regulating agriculture, domestic non-agricultural businesses, as well as foreign trade.

Wage was determined according to the product that was produced. Both the employee and the employer were monitored by the state. The output was only allowed to be sold at the market. State determined the prices according to demand and supply of the market. The prices were regulated enough to produce 5% profit for local business and 10% for foreign trade.

The State often controlled the supply if the predetermined price could not be maintained. It also provided social overhead capital and often gave tax incentives for businesses to operate profitably.

1. **State as a facilitator:** it was state's duty to facilitate transactions as it was important to maximize the welfare. He favoured free trade and believed that the State should create mechanisms to protect and promote commercial activities. In the Kautilyan State 'those who conspire to lower the quality of the works of artisans, to hinder their income, or to obstruct their sale or purchase shall be fined'.
2. **Institution building:** The Kautilyan idea of institution-building for States and markets, and the emphasis laid on them is similar to modern ideas knowing that setting domestic standards and institutionalizing them through laws was very essential. He recommended a separate superintendent of weights and measures who would strictly enforce such standards in the market. Kautilya laid down very strict rules on what constitutes a 'legal' agreement, the role of trial and transparency and the importance of having the maximum amount of information to resolve all disputes fairly. For Kautilya, the element of transparency in agreements was foremost. All agreements needed to have witnesses, needed to be recorded and the witnesses could not be those who had a criminal record
3. **State intervention:** Kautilya recommended appointing different superintendents for different activities of the state. Kautilya's idea of the passport corresponds to the modern version of this document that facilitates movement of people.
4. **Prevention of unfair trade practice:** For Kautilya, the welfare of the State and the people of the State were paramount. Kautilya was an advocate of price controls in the domestic market. It is interesting to note that Kautilya tried to establish guidelines for professional service providers also, including weavers, washermen, boatmen, shipping agents and even prostitutes. Kautilya's policies, when seen in totality, represent a very pro-merchant and artisan stance, with the State playing the role of facilitator and protector of commercial interests. But the Kautilyan State, like any modern State, saw the welfare of citizens as priority, and thus safeguards against monopoly behaviour and price escalation had to be factored into the bargain.

Kautilya identified several areas of State intervention and appointed officials to facilitate the economic life of the country. They are as follows:

1. The superintendent of slaughterhouse
2. The superintendent of prostitutes
3. The superintendent of ships
4. The superintendent of passports
5. The office of the city superintendent

Kautilya realized that the role of the State was to ensure that commercial activities do not violate laws or are harmful for the consumer, and if the State did not establish and enforce codes of conduct, it would, in fact, raise transaction costs.

Good Governance

Good governance refers to a system in which a government not only fulfils all the common aspirations of its citizens but also promotes the well-being of the entire society.

Kautilya's Arthashastra is basically a book on governance. The Arthashastra is more a practical guide meant for kings than a theoretical composition. It is a tome on how the king should rule and what aims he should strive for.

Kautilya knew the drawbacks of an evil ruler. He knew that even the strong republics that existed in India and later succumbed easily to Persian and Greek invasions, fell primarily because of maladministration.

He realized the need for creating a strong and centralized monarchy benevolent to the people. He could visualize the realization of a strong normal rule in place of an evil one. Not only that, but he succeeded in creating an ideal state ruled by an ideal king, Chandragupta Maurya. He administered the kingdom as prime minister and then wrote the Arthashastra as a guideline for the benefit of the king.

1. In the words of Kautilya, "In the happiness of his subjects lies his happiness, in their welfare, his welfare. Whatever pleases him personally he shall not consider as good but whatever makes his subjects happy he shall consider good."

The king should look to the bodily comforts of his servants by providing such emoluments as can infuse in them the spirit of enthusiasm to work. He should not violate the course of righteousness and wealth. Thus, he shall not only maintain his servants, but also increase their subsistence and wages in consideration of their learning and work.

It is the primary concerns of the citizens of any society that the government must be good and effective. Kautilya suggests that good governance should avoid extreme decisions and extreme actions. Soft actions such as Sama, Dana and harsh actions like Danda should be taken accordingly.

2. Kautilya emphasized capping at a quarter of the revenue as the salaries of the king and his officials:

For good governance all administrators including the king, were considered servants of the people. They were paid for the service rendered and not for their ownership of anything. The king has no individuality. He himself was one of the organs of the state, albeit the most important organ.

3. The main duty of the king:

Kautilya believed that the king should be well-educated and disciplined in sciences, committed to good governance of his subjects and have the intention to work for the welfare of the people. The king should have the ability to persuade and motivate his ministers and to act as a leader for the achievement of collectively agreed upon goals in specific time.

4. Appointment of the qualified members:

The ministers were appointed by the king on the basis of their quality and ability laid down for different posts. The king himself does all the significant appointments on the basis of intelligence and power of experience and also being suitable for the posts.

Arthashastra thus states that, competent and qualified ministers along with highly virtuous and administratively qualified king can only provide good governance to the state.

5. Adaptation of preventive measure:

Kautilya also deals with the problem of corruption, in fact he points out about 40 ways by

which government funds can be embezzled. According to Kautilya, for good governance preventive and punitive measures to punish corrupt civil servants must be adopted.

Thus, good governance and stability go hand in hand. If rulers are responsible, accountable, removable, recallable then there will be stability in the state.

Public Governance

Public Governance rules was divided into two parts:

1. Principles of Economic Administration
2. The Governance Administration

Principles of Administration included:

- 1. Importance of Village economy:** To boost agriculture, Kautilya made it mandatory for the king to protect farmers from being harassed by overdue fines, taxes and demands for labour. Kautilya makes some very useful suggestions in the book such as, arable land should be allotted to taxpayers for their lifetime. Land allotted to all those who do not cultivate it, should be confiscated and given to others. The loss suffered by the State due to non-cultivation should be made good by the attending holder of the land. The King would promote trade and commerce by setting up market towns and trade routes, both by land and by water. He should build water resources, reservoirs throughout the country and construct wide roads. He should protect trade routes from harassment by his own courtiers, officials, or thieves and frontier guards.
- 2. The concept of mixed economy and public sector:** Kautilya was foremost among political economists, who propounded the concept of 'mixed economy'. According to him, the State should run a diversified economy actively, efficiently, prudently, and profitably. When the State's commodities were sold by private merchants, they had to pay a charge to compensate the State for profit. Thus, it is obvious that for Kautilya the word 'profit' is not anathema but a must in business. Land was in the public sector, the State held all virgin lands, forests and water resources. Arable land was both in public and private sectors. The State had monopoly over the manufacture and sale of alcoholic liquor, gambling, prostitution and betting.
- 3. Local and Foreign Trade:** Both private merchants and the State were involved in local and foreign trade. The Chief Controller of Trading was responsible for the equitable distribution of local and foreign goods, buffer stocks, sale of crown's commodities and public distribution. The Chief Controller of Private Trading kept a watch over merchants, inspecting their weights and measurements periodically and ensuring that they did not hoard, adulterate, or add extra mark-ups.
- 4. Budget accounts and Audits:** The councillor in charge of budget making had to first estimate the revenue for the tax year by determining the likely revenue from each sphere of activity under different heads of accounts, total them up by place of activity to arrive at the grand total. Deductions were made for expenditure on the King; standard rations for others and exemptions granted by the King by decree, or orally. Responsibility of auditors was underscored in the Arthashastra. Failure to conform to regulations was a punishable offence. The auditor had to be ready when the accounts officer presented himself for audit, otherwise he would be punished.

The Governance Administration includes:

- 1. The Rule of the King:** The State was governed by the King with the assistance of councilors and ministers, through three methods that which the King saw with his own eyes, that which he knew indirectly through reports submitted to him and that which he inferred about work not done by knowing about the work that had been done. The King thoroughly investigated all the qualities of anyone whom he was considering for appointment as a minister. The King was accessible to his people every day for one-and-half hour after sunrise. When in the court, he would not make petitioners wait at the door (but attend to them promptly himself). Kautilya averred that when the king was inaccessible to the people, they would cross over to the enemy.
- 2. Civil Administration:** The King was in charge of an elaborate machinery to control civil administration. The heads of the administration were the treasurer, chancellor, chief comptroller, and auditor. Under the chancellor were frontier governors, provincial governors, and judges. Under provincial governors were magistrates. Under the chief comptroller and auditor were city commander, city administrators, ministers, head of manufacturing establishments, and city governor-generals. Under the ministers were forest commanders and danda palav, chief forest officers and the heads of departments directly under chief comptroller and auditor
- 3. Civic Service:** Kautilya recommended that only those officials who did not eat the King's wealth, but increased it in just ways should be made permanent in civil service. While an officer negligent or remiss in his work would be fined double his wages and losses incurred, an officer who accomplished a task as ordered or did better than that, would be promoted and rewarded.
- 4. Salary Structure and Wage:** Kautilya's Arthashastra specified the amounts of salaries to be paid to various categories of civil servants. The total salary bill of the State had to be determined in accordance with the city and countryside's capacity to pay, and it was not to exceed one-fourth of the revenue of the State. If the amount of the actual cash in the treasury was inadequate, salaries could be paid partly in cash, and partly in kind. Grain could be substituted for cash wages according to the formula that an annual salary or wage of 60 panas was equal to one adhaka of grain per day.
- 5. Frauds and Punishments:** Kautilya was aware of financial frauds committed by government officials. He observed that they could enrich themselves improperly in two ways – either by cheating the government or by exploiting the public. He prescribed punishment for each type of fraud. He listed 40 ways of 'stealing' government wealth. A few examples mentioned by Kautilya about officials cheating the government include, construction using government property for personal profits, falsification of the date of receipt of income, misuse of government property, etc.
- 6. Consumer Protection:** The Arthashastra contains measures for consumer protection and the welfare of the people. It has also prescribed how much to pay to artisans, craftsmen, goldsmiths and merchants. To protect consumers, it was made mandatory that all balances and weights were bought from the chief superintendent of weights and measures. It also describes various ways by which merchants cheat consumers, for e.g., fraud in weighing, substitution of original products or ingredients with fake ones.

Agriculture

The Arthashastra states that the main activities of the economy were: agriculture, cattle rearing, and commerce. These activities were grouped into a category called Varta.

Kautilya opined that the government should also ensure strong financial management systems to be introduced in agencies and organizations at the village level which interface with the public and private sectors. Such systems should also be in place in public corporations that are subject to government regulation. This is not ruling out the fact that in all of these, sound and reliable standards of governance are often needed.

Agriculture to be the most important constituent of the economy. Arthashastra pointed out that the responsibility of a government was not, of course, limited to ensuring the proper planning and allocation of central funds but also proper management and implementation of policies in accordance with standards and procedures.

Kautilya indicated that agriculture should receive policy and administrative support from government officials. For production of crops, supply of good seed and other purchases, inputs need to be arranged. Assistance had to be provided to make available other resources such as labour, machinery, implements, and bullocks.

Cultivation of land directly by the state was done under the supervision of the Sitadhyaksha (Chief Superintendent of Crown Lands). Land not directly cultivated could be leased to share-croppers who got one-fourth or one-fifth of the harvest if they contributed only labour and one-half if they provided all inputs. If the land was previously uncultivated, the payment to the state was to be agreed beforehand; even this could be waived in times of distress. The revenue from Crown lands was shown separately in the accounts as Sita.

Private farmers were under an obligation to cultivate their fields. It was a punishable offence for a farmer, or a tenant, to neglect or abandon his field at the time of sowing or for the farmer to take away the land from the tenant; only when circumstances were such that cultivation was impossible so this obligation was lifted.

Farmers paid an agricultural tax, in kind, of one-sixth the produce, this being shown separately in the accounts as bhaga.

The Arthashastra has a lot of valuable information about the management of agriculture, such as -

- 1. Ownership of the land:** Arthashastra recognizes private ownership in land, though it presupposes the existence of State-owned or crown lands. All unoccupied land belonged to the State. Unoccupied land was allotted to villages. The grants of the agricultural land were made for the farmer's lifetime only, meaning that the farmers were not absolute owners. Lands which are not under the supervision of the Sitadhyaksha belonged to private owners.
- 2. Cropping Pattern:** According to Arthashastra cropping patterns were different for different crops. Kautilya divided crops according to their irrigation demand and seasons. He also differentiated them according to the need of care. Arthashastra says that anyone who brought new land under cultivation is to be granted exemption from payment of agricultural taxes for two years.
- 3. Irrigation:** Kautilya's Arthashastra established the rules for building reservoirs and dams, and mentioned irrigated fields being more valuable than rain-fed fields. He encouraged subsidiaries for renovation, rebuilding of water resources. Anyone leasing, hiring, sharing

or accepting waterworks as a pledge, with the right to use them, had to keep them in good condition. The owner could give water to others (by dredging channels or building suitable structures) in return for a share of the produce grown in the fields, parks or gardens. In the absence of an owner, either charitable individuals or the people of the village acting together had to maintain waterworks.

4. **Meteorology:** The weather forecasting methods stated on Arthashastra from observation of the movement of stars, cloud, planets played an important role on the way of agriculture. The forecast of rain was made by observing planets, the position, movement and cloudiness of Jupiter, from the rise, setting, and movement of Venus, and from changes in the appearance of the Sun. A good rainy season was when one-third of the annual rainfall occurs at the beginning and at the end of the season.
5. **Profit Margin:** Arthashastra indicated the profit margin allowed to merchants as: 1- 5% for locally produced goods, and 2- 10% for imported goods.
6. **Price Support:** Arthashastra states that when the supply of a commodity is in excess of demand, the Chief Controller of State Trading has to build up a buffer stock by paying a price higher than the market price. When the market price reaches the support level, he shall change the price, according to the situation.
7. **Sustainable Farming:** Kautilya encouraged the preservation of seeds, plantation for the next season. Kautilya's Arthashastra is a treasure-trove of scientific information on a variety of subjects including agriculture. It is now universally acknowledged that no long-term economic growth programme is feasible in India without including the development of the agricultural sector.

Foreign trade

In Arthashastra, Kautilya showed the eagerness of foreign trade of Mauryan Empire with China, Ceylon etc. They often trade different types of goods like chemicals, silks, wines, pottery etc. Like today, there were also levies which were called 'vartanam' for imported goods and 'Dvarodaya' was paid by the businessmen.

Kautilya suggests the promotion of imports rather than exports. During ancient times, efforts were made to remove almost insurmountable hurdles rather than create them to impede the flow of imports.

Kautilya's Policies on Promotion of Imports

Kautilya's primary goal is to facilitate imports to increase the availability of a maximum number of consumer goods to a maximum number of individuals. Before the introduction of modern technology for mass production, was catered to individual tastes and requirements. So there was plenty of variety. Moreover, during the ancient times the choice between having a larger variety at a higher cost and fewer varieties at a lower cost (by mass production) was not available. Also at a low level of income, a preference for two different goods rather than two varieties of one good perhaps would be much stronger.

Guidelines for Fair Trading

Kautilya lists guidelines for ensuring fair trading. For example, he states, “Both locally produced and imported goods shall be sold for the benefit of the public. Even a large profit shall be foregone if it is likely to cause harm to the public. No artificial scarcity be created by accumulation of commodities in demand; these shall not be subjected to restrictions on when they be sold.”

Kautilya instead proposes import promoting policies. He recommends, “Imports shall be sold in as many places as possible [in order to make them readily available to people in the towns and the countryside.]”

Medium of payments: Gold bar/coin were usually used, silver coin named ‘karshapanas’ were also in circulation. Coin with Greek punch mark were used as official currency. To ensure the ideal trade, Kautilya taught some principles (Nitishastra) to the society which was based on comparative advantage is also taught in University nowadays. Kautilya believes that a policy of allowing a higher profit margin on imports than that on domestic trade (there is no evidence of any lobbying by the importers) is necessary to compensate the importers for undertaking the extra risk otherwise they may not import at all. He recommends a 20% ad valorem tariffs on imports. Similarly, he recommends export duties ranging from 4% to 16%. Tariffs are recommended to raise revenue and not to restrict trade.

Revenue or profit rate: Land revenue was 1/6th of the share and the tax was collected as ad-valorem tax. Import duty was 20% just like today! Sulka was collected at the fortified cities of the capital. Imported goods were allowed to sell in both cities and countryside. The profit margin was 5% for the domestic good and 10% for the imported goods. Revenue raised through taxation went partly to finance the army and to expand territories.

Supervision and control: There are practically no restrictions on imports (other than on those which are considered harmful or worthless) but he suggests some controls on the export of arms and any other product, which might help the enemy. Kautilya suggests the prohibition of exports of certain products, such as: “Weapons and armour of all kinds including coats of mail; metals; chariots; jewels and precious stones; grains and cattle .”

According to him, jewels and precious stones are used to win friends or making payoffs to avert certain adverse circumstances.⁷ out of 34 Department was envisaged. Those departments were - **i)**state trading, **ii)**private trading, **iii)**customs, **iv)**ports, **v)**weights and measures, **vii)**shipping and surveyors.

The head of the department(adhyaksha)ensure the orderly marketing and prevent trader from making excess profit. Kautilya states, “Frontier officers shall be responsible for the safety of the merchandise passing on the roads and shall make good what is lost . Traders may stay inside villages after letting the village officers know of the value of their merchandise. If any of these is lost or driven away, the village headman shall recompense the trader.

Exports on government account: State trading office determined the level of expenses to be deducted for arriving at the allowable profit margin. Expenses were 2 types - custom duty, ferry charge, tax at military station and the other one was the share of king.

Arthashastra insisted upon trade resulting in profit and discourage to areas which are unprofitable. He showed that trades were not just dependent on economics but also on other political or strategic advantages.

Domestic Trade

Trade both internal and external is considered as an engine of growth. Kautilya's Arthashastra considers trade as the third pillar of economic activity. After agriculture and cattle rearing, trade was the third most important constituent of the economy of the Kautilyan state. Increasing revenue from trade and welfare of the people was a primary objective of the state. So the first step was protecting the trade routes from harassment by courtiers, state officials, thieves and frontier guards. That's because of two facts.

1. The realization that trade routes were critical for the development of the economy.
2. Warning about corruption in matters relating to trade.

Then comes typology of domestic trade: Kautilya divides the economy into three sectors-

1. State/Government /King
2. private
3. service providers

The trade control system was well-defined and articulated. The officers in charge of the sale had to deposit the proceeds in a box with a lid with Only One hole so that they Couldn't take it out again. Kautilya asserts that the location of trade is indispensable, that's why he repeatedly refers to the middle of the market street which implies that there is a central market and this enables buyers to convene at one place to make their purchase. Kautilya also places the responsibility of oversight into the hands of one individual.

According to Lisa Herzog, competitive markets contain certain structural features that enable them to exist. Among these features, the most important include numerous buyers and sellers, comparable goods, and the absence of informational asymmetries Mandating a predetermined location for the market, as Kautilya suggests, fulfils each of these requirements. To maximize the numbers of buyers to sellers and to maximize the number of sellers to buyers, a single marketplace attracts everyone. This enables customers to better understand the prices of a wide range of goods. Ultimately, having access to a variety of products and prices increases information transparency and eliminates the informational asymmetries that would arise if commerce took place across many locations

Since trade is a broad category of economic activity, Kautilya places the responsibility of oversight into the hands of one individual. The Superintendent of the Marketplace is tasked with monitoring commercial activity and trade. One of his primary responsibilities is to inspect equipment that is to be used for weighing and measuring. Regular monitoring of this equipment protects consumers from cheating and under-delivering by traders. Harsh fines provide an economic disincentive for this kind of behaviour

Another concern with a free market populated by private enterprise and private customers is collusion, which Kautilya is fully aware of and attempts to thwart. In fact, he states that "For artisans and craftsmen who collude in generating profit derived from lowering the quality of their work or impeding sales and purchases" or "collude in withholding commodities or selling them at an inordinate price, the fine is 1000 Panas" Relative to many other fines, 1000 Panas can be detrimental to the existence of a business. It is considered one of the harshest punishments. Collusion is the decision by several players in a market to change their prices or reduce the quality to make a better margin on the products they sell. This usually causes undue financial burden on customers who are looking to buy. Moreover, collusion goes against the principle of competition, as would-be competitors work together to fix a more favourable price.

In order to monitor traders, Kautilya suggests the employment of agents. I will more thoroughly discuss the roles of secret agents in the economy in a subsequent section. Agents are appointed by the city's Collector, and they should find out the quantity and the value of king's goods originating in his own country and produced in pit mines, reservoirs, forests, factories, and fields". This role serves multiple purposes. First, Kautilya believes in the importance of monitoring government-monopolized industries. This prevents illicit activity and unsanctioned competition. Government monopolies are extremely important to the health of the treasury, and loosening the grip on these monopolies would compromise the state's ability to generate revenue. More importantly, the utilization of agents implies a general suspicion that traders are willing to conduct illicit activity to generate their own profits.

Relative merits of different types of economic activity

An ideal Janapada was one which was easily defined and which had a lot of productive land with cultivable fields, mines, timber forests, elephant forests, and pastures.

Agriculture was the most important economic activity. Cultivable land is better than mines because mines fill only the treasury, while agricultural production fills both treasury and store houses.

1. The King had to ensure that agriculture was protected from harassment by not levying onerous taxes or fines, and by not making undue demands for free labour.
2. Building forts (defence preparedness), water works and reservoirs as the source of crops.
3. Trade routes were also a means of outmanoeuvring the enemy because it was through these that the King could send secret agents and bring in weapons and other war material.
4. It was better to have a large production of low value minerals than a small production of high value ones.
5. Productive forests should be large, near the borders of the country with a river and yield material of high value.
6. It was better to have many trade routes, even if they were not all built to high standards. Kautilya's order of preference for establishing trade routes: land route preferably to the south, a water route on the coast and the inland waterway.
7. Cart-tracks and tracks usable by draught animals were preferred over footpaths. As earlier mentioned, trade was the third pillar of economic activity, and the Arthashastra details every aspect of trade. Apart from promoting trade by improving infrastructure, the State was required to keep trade routes free of harassment by courtiers, state officials, thieves and frontier guards. Kautilya appears to mistrust traders, believing them to be thieves with a propensity to form cartels to fix prices and make excessive profits as also to deal in stolen

property. He prescribed heavy fines to discourage such offences by traders and with a view to protect consumers.

Further, the law on dealings among private merchants included:

1. Selling on agency basis
2. Revocation of contracts between traders
3. Traders travelling together and pooling their goods

Safety in transit: If any property of a trader was lost or driven away in an area between villages, the chief superintendent of Pastures became responsible for that. Outside the area under control of CSP, the responsibility was that of 'Chora Raju'. If the responsibility Couldn't be fixed on any official, the village people collectively responsible to the trader. It is thus seen that the importance of the trader was recognized by Kautilya as also the importance of the rule of law, by restoration for any loss caused. At the same time, traders were prevented from oppressing people.

Chief Controller of Private Trading

1. Responsibilities:

- (i) To ensure fair trading in new and old articles.
- (ii) To allow sale/pledging of old articles only if seller/ pledger would provide proof of ownership.
- (iii) To inspect the weights and measures used by merchants in order to prevent fraudulent use.

2. Contract over Merchants:

- (i) To ensure that profit margins of 5% on domestically produced goods and 10% on imported goods were adhered to.
- (ii) To ensure that goods were sold at the prices fixed for them.
- (iii) To ensure that merchants did not deal in stolen goods.

3. Assistance to Merchants:

To provide appropriate exemptions, if goods held by the merchants were damaged for unforeseen reasons.

4. Brokers and Middlemen:

- (i) To ensure that merchants did not count the brokerage paid to middlemen as part of their costs in calculating their profit margins.
- (ii) To allow brokers to hold stocks of grain and other commodities to the extent they were authorized.
- (iii) To confiscate any stock held by brokers in excess of authorized limits, and to deliver these to the chief controller of state trading for sale to the public.

5. Orderly Marketing:

To prevent the collective purchase by merchants of commodities as long as the goods of an earlier joint purchase remained unsold.

Government Finance

Kautilya's ultimate objective was not to benefit the King, but to benefit the people. He believed a strong and wealthy monarchy would be in a position to protect the interest of the people against invasion by other kings. He established the principles of taxation and the sources of revenue and expenditure. It is one of the earliest recorded guidelines of Public Finance.

Kautilya's principal of taxation:

Kautilya's scheme of taxation involved the elements of sacrifice by the taxpayer, direct benefit to the taxpayers, redistribution of income (the state took care of the poor), and tax incentives for desired investments. Kautilya's discussion of taxation has several underlying principles. They are:

1. The taxing power of the state should be limited
2. Tax should not be felt to be heavy or excessive
3. Tax hikes should be introduced gradually
4. Tax should be levied in the proper place, time and form,
5. Tax level should be equitable and reasonable.

Classification of public revenue

Sources of revenue mentioned in Arthashastra under their corresponding modern categories are:

1. **Corporate Taxes:** The corporation or guild of artisans and handicrafts-men
2. **Indirect Taxes:** Liquor, slaughter of animals, threads, oils, ghee, sugar, the state goldsmith, the warehouse of merchandise, rivers, ferries, boats, and ships, road-cess, ropes and ropes to bind thieves and taxes on minerals.
3. **Land and Property Tax:** Town houses and building sites, pasture grounds, agricultural produce, flower gardens, fruit-gardens, vegetable gardens, wet fields. A large part of tax on agriculture was received in kind.
4. **Customs duty:** Sulka was collected on all imported goods at the city-gates and the work of collecting customs duty was supervised by Sulkadhyaksha, viz., Superintendent of customs.
5. **Fees and Government Service charges:** Tolls, fines, weights and measures, the town-clerk, the superintendent of coinage the superintendent of seals and passports.
6. **Income Taxes:** Produce from crown lands, portion of produce payable to the government.
7. **Entertainment taxes:** Prostitutes taxes and gambling charges.

Public expenditure

Items of expenditure were classified under 15 heads known as Vyayasarira (the body of expenditure).

For Kautilya, there were two kinds of expenditure:

1. **Daily expenditure:** Expenditure that was made to maintain daily activities of the state.
2. **Profitable expenditure:** For Kautilya the 'expenditure' that earned revenue 'once in a paksha', a month, or in a year is called profitable expenditure.

The emphasis on a proper system of audit and the quality of revenue administration is exceptional. In essence, it reflects Kautilya's focus on institution building and management. Preparation of plans for profitable works, balance of fines due, demand for arrears of revenue kept in abeyance, and examination of accounts, these constitute what is called part of the work in hand.

Government events and governance

Kautilya stated that the prosperity of the state also depends on the servants of the government. He also understood the need for transparency during the investigation of public servants and the practice of whistleblowing on corrupt practices. Kautilya identified 40 different methods of embezzlement of public money, and prescribed the harshest punishment for such an offence. He admitted that some amount of corruption would always exist and cannot be scrutinized perfectly.

Classification of financial frauds

Kautilya also mentioned the methods of fraud detection as well as fraud prevention. Some of these frauds relevant in today's corporate environment are:

1. Falsification (of date) with a motive of personal profit.
2. Misrepresentation (of income received or expense incurred) with a motive of personal profit.
3. Revenue due on a given date is allowed to be collected at a later date for a consideration.
4. Revenue not due till later is collected earlier by force or deceit but credited on due date.
5. Revenue paid by one is credited in the name of another for a consideration.
6. Revenue for treasury realized in the capacity of a collector is misappropriated by an individual by force or deceit.
7. Discrepancies (arising out of willful fraud) in:
 - (i) personally supervised work
 - (ii) account heads
 - (iii) labour and overhead charges
 - (iv) work measurement
 - (v) totalling
 - (vi) quantity
 - (vii) price
 - (viii) weights & measures
 - (ix) containers of goods

Actual income was calculated under the three major account heads:

1. current income
2. transferred income
3. miscellaneous revenue.

Education

Undoubtedly, education is one of the most importance given sector throughout the world in present day. But it was not the case before 19th century. Before 19th century, not so much evidence of systematic investment in educational sector is found for any country.

Hence, it is a matter of surprise that Kautilya, in his era, had given much importance to training and learning which we come to know through the political theorist of Maurya period who was later known to formulate the principles of Arthashastra in text as Kautilya didn't jot down all these by himself. Kautilya in Arthashastra stated clearly that training imparted discipline. Arthashastra clearly states that teaching wrong things was a great crime. Kautilya established the fact that education helped and preserved the righteousness, wealth and physical pleasures and is a tool to destroy poverty, unrighteousness and hatred.

According to Arthashastra, disciplines can be categorized into two kinds, artificial and natural. The students were told to seek the company of aged professors of sciences to understand the roots of sciences. Kautilya also suggested the following time distribution, which he believed to be utilizing the entire capacity of a disciple.

According to him, students were to spend the forenoon in learning the military arts and the afternoon in hearing the *Itihasa* which included history, tales, illustrative stories etc. Kautilya stated that a well-educated king, disciplined in sciences and devoted to good governing, would enjoy the earth and unopposed.

Education and training was specifically divided into the following areas in that era. Which are-

1. **Veterinary Education:** A district branch of science with its own scholar regarding the treatment of ill animals.
2. **Military Education:** Though in modern times, military training is only given by the state itself at the time of recruitment of the army. But back then, the average citizens and villagers had to be able to defend themselves. Thus, most of them were trained by their priors from childhood.
3. **Commercial Education:** There is seen the techniques of profitable trade to be taught with hints of using statistics as there had been various persons usually employed to keep records of different categories of domestic animals.
4. **Association of Attributes:** Besides all those typical forms of education, the ancient Indian educational institutions were characterized by spiritual endeavours to realize the higher truth of life.
5. **Patronised Centres:** Kings were encouraged to set up centres for higher education. Nalanda University, Takshashila University and Vikramshila University were three leading educational institutions of that era.

Takshashila University: Located in present Rawalpindi, Pakistan. It was the then capital of Gandhara. It was founded by Bharat and named after his son Taksha. Furthermore, it is the most ancient University. Students here typically came at the age of 16 to complete their education. Subjects taught—Science, Philosophy, Ayurveda, Grammar of various languages, Mathematics, Economics, Astrology, Geography, Astronomy, Surgical Sciences, Agricultural sciences, Ancient and modern sciences. This university was so famous that students from far off kingdoms came here.

Nalanda University: Located in Baragaon, 7 miles north of Rajgir, Bihar. Though the University specialized in Mahayan Buddhism, it offered Logic, Grammar, Philosophy, Astronomy, Literature, Buddhism and Hinduism as well. Even Kautilya was once a student of this university. Historians have found that this university had about 1500 professors and 10000 students.

Vikramshila University: Located in Dharampala, Bihar. Here, the syllabus and method of teaching were controlled by a board of eminent teachers. Grammar, Logic, Metaphysics, Ritualism etc. were major subjects.

All these universities followed the *Gurukul* system of teaching, which means the students and the faculty stayed together.

Education urges progress, on the other hand, unequal education puts negative impacts on development process. Maybe for this, Kautilya had stated, “Investment in human capital specially in higher education would have a greater impact on the growth and development of the economy.”

Conclusion

Kautilya's Arthashastra is a unique Indian text that hasn't lost its relevance in contemporary India. The very reason that this book appeals to our generation, even after over 2400 years, shows that Kautilya has fine-tuned each concept in great details, proving his far-sightedness. The relevance of Kautilyan thoughts in the Indian economy gains another dimension when judged in the context of the general perception that India along with China is likely to drive global economy in the 21st century. Therefore, in the 21st century, stability and prosperity will depend on the creation of strong corporate governance systems. It is important that the momentum for reform of corporate governance regime be maintained. The principles of corporate governance which have been handed over to us by Kautilya, can help in the process. Even though they might not be able to prevent future shocks, they could prevent a setback from becoming a crisis.